

urity to the *tenant for life himself* (a). And when the Court has assumed the administration of the estate by the institution of a suit, it will not direct an investment on personal security, though there be a *power* to lay out on either personal or Government security, but will order all future investments to be made on Government security (b).

A power to lend on personal security may mean on the security of personal property, or the security of the personal undertaking of the borrower, and where the trustees had the last mentioned power and lent upon a note of hand, the Court allowed the loan, but directed a bond to be taken (c).

24. Where empowered to lend on personal security, trustee may not accommodate a person.—Where the trustees of a sum of money for A. for life, remainder for her children, were authorised by the settlement to lend the trust fund upon real or *personal security* as should be thought good and sufficient, and the trustees lent it to a person in *trade* whom A. had married, and the money was lost, they were made responsible for the amount. Sir William Grant said, “The authority did not extend to an *accommodation*: it was evident the trustees had, upon the marriage, been induced to *accommodate* the husband with the sum, which they had no power to do” (d). And in another case, where a trustee was even *required* at the request of the wife to advance money to the husband upon his bond, and the husband took the benefit of the Insolvent Act, and the wife requested the trustee to advance 80*l.* to the husband upon his bond, and the trustee refusing, the wife filed her bill to have the trustee removed, the Court said, “that so total a change had taken place in the circumstances and position of the husband, that the clause in question became no longer applicable to him

(a) *Keays v. Lane*, 3 I. R. Eq. 1. But a tenant for life whose consent is necessary to the exercise of a power of sale by trustees, may purchase from the trustees. See *post*, c. xviii. s. 3.

(b) *Holmes v. Moore*, 2 Moll. 328.

(c) *Pickard v. Anderson*, 13 L. R. Eq. 608.

(d) *Langston v. Ollivant*, G. Coop. 33. In this case, as the person to whom the money was lent was a *trader*, it has been inferred that under a power to lend on personal security the trustee cannot lend to a *trader*, but the Court has never yet gone to that extent.